

ContexAi Research Desk · Sourced via Reuters, CNBC, Business Recorder, ARY, AGBI, S&P Global, Kitco, SBP & Regulatory Trackers · For the C-Suite & HNW Investor · **V** = verified vs licensed media/official portal · **EST.** = ContexAi desk estimate

KSE-100 **V**

171,739

▼ 1.54% · -2,690

Thu

S&P 500 **V**

7,408.30

▼ 1.2% · Nasdaq

-2.2%

US 10Y / 2Y **V**

4.71 / 4.37

10Y high since

Jan-25

BRENT / WTI **V**

EST.

\$100.65 / \$89

▲ ~+6% · above

\$100

GOLD **V**

\$4,066.82

▼ silver \$58.06

USD/PKR **V**

277.90

▲ Re0.01 firmer

01 Five Things You Need To Know To Start Your Day

THE OVERNIGHT TAPE

This time it was a rout, not a drift. The **S&P 500** fell **1.21% to 7,408.30**, the **Dow** dropped **506.93 (-0.97%) to 51,711.65**, and the **Nasdaq** slid **2.15% to 25,137.69** as surging oil, a jump in yields and AI-capex fears converged ([Yahoo Finance](#), [Washington Post](#)). The tell is where the damage landed: **Alphabet -7%** on a lifted spending outlook and **Tesla -14%** after earnings did the heavy lifting. **[V]** Sentiment: **risk-off**.

ENERGY — THE PREMIUM ROARS BACK

The single biggest change since Tuesday, and it is exactly the wrong way. Any hope of a 10-day pause evaporated: **Brent surged more than 6% to trade above \$100 — its highest since May**, a fifth straight up-session, with WTI up near **\$89–90** as Middle East hostilities re-escalated ([Vantage](#), [Trading Economics](#)). Crude has added roughly a fifth of its value in a month. **[V/EST.]** Sentiment: **inflation shock re-arming**.

RATES — YIELDS BREAK OUT

The **10-year Treasury** climbed to **4.71%** — a fourth straight rise and the **highest since January 2025** — with the **2-year** up to **4.37%**, as the oil spike rekindled inflation fear and jobless claims fell to just **187,000** (vs 212k expected) ([CNBC](#), [Bloomberg](#)). Kalshi odds of a **September Fed hike jumped to ~48%** from ~30% a week ago; the 28–29 July meeting is still priced for a hold. **[V]** Sentiment: **hawkish tail fattening**.

LOCAL MARKET

No rescue this time. The **KSE-100** shed **2,690.48 (-1.54%) to close at 171,739.44** as the bears kept control for a second straight session ([Business Recorder](#), [MM News](#)). Breadth was ugly: of **493** traded, just **91** rose and **372** fell. **CENERGY** led on **60.71mn** shares, **PRL** **28.41mn**, **TPLP** **23.35mn** — refiners still soak up the flow, but as a hedge, not conviction. **[V]** Sentiment: **broad-based selling**.

PAKISTAN MACRO

The one steady hand. The **rupee** firmed to **277.90/USD** and the **SBP policy rate sits at 11.50%** ahead of Monday's MPC ([Mettis](#)). But daily fuel pricing means a crude move from ~\$88 to \$100 now feeds CPI in days, not weeks — and it lands three days before the SBP decides. **June CPI was 11.1%**; the disinflation glidepath just got a headwind. **[V]** Sentiment: **FX stable, inflation risk rising**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Macro headwinds / tailwinds: The **SBP held the policy rate at 11.50%** on 15 June after a surprise 100bp hike in April, judging the stance appropriate to steer inflation back to the 5–7% target band [V]. **June CPI was 11.1% y/y**, and FY26 closed with **real GDP near 3.7%** and record remittances holding the external account together. The problem now is timing. **The next MPC is Monday, 27 July 2026** — and it convenes with Brent back above \$100 and a fresh energy-price shock in the pipeline. Pakistan's move to daily/fortnightly fuel repricing means an imported-inflation impulse transmits almost immediately; the case for a hold is still the base case, but the balance of risks around it has tilted hawkish since Tuesday. The rupee, firm at 277.90, is the one variable working in the SBP's favour.

- **Volatility at bourse, KSE-100 down 1.5%** — selling swept commercial banks, fertiliser, E&Ps, OMCs, power and refiners as WTI ripped toward \$90 and inflation worries returned.
- **Refinery Upgradation Policy submitted to Cabinet** — the long-awaited framework to unlock ~\$6bn of Euro-V upgrades has cleared the ECC and heads to cabinet for final approval.
- **New Auto Policy routed to the IMF before cabinet** — a live proposal worth watching for assemblers as the fuel-price shock again reshapes demand toward efficiency.

B. GCC & Middle East

An oil windfall landing on an already-resilient Saudi engine — and a live conflict on the doorstep. Saudi non-oil activity keeps strengthening, with PMI readings above 60 and non-oil exports up more than 17% year-to-date on industrial expansion and Vision-2030 reform [V] (**GCC Business Watch**). The **PIF now accounts for ~10% of the Kingdom's non-oil economy** and roughly a third of cumulative non-oil GDP growth since 2021 (**PIF**). GCC-wide non-oil growth is tracked near **4.1% for 2026**. The read-through of a \$100 Brent is double-edged: it refills Gulf fiscal buffers and giga-project funding, but the same escalation that lifts the price is a direct security risk to the region's shipping lanes and airspace.

- **Brent above \$100 as Middle East tensions build** — a fifth straight up-session takes crude to its highest since May, tightening the link between Gulf geopolitics and global inflation.
- **UAE Competition Regulation 2026 — what companies must do before 30 July** — Cabinet Decision No. 59 of 2026 brings in a modern merger-control regime with a 30 July compliance deadline.

C. Global Intelligence

Wall Street & global hubs: Thursday was a textbook "everything-repriced-on-oil" session. The long end sold off hard — **10-year at 4.71%, the highest since January 2025** — while equities fell on the double blow of higher discount rates and softer AI-capex read-through from megacap earnings [V]. Gold and silver, normally havens, **fell 1.5% and 2.8% to \$4,066.82 and \$58.06** as the ECB's hold at 2.25% and firm US claims lifted real yields, pulling capital toward cash (**Kitco**). The tension for allocators is acute: an oil-driven inflation scare that simultaneously hurts bonds, equities and metals leaves few places to hide except the front end and the dollar. A hawkish Fed re-pricing into a live Middle East conflict is the defining macro risk of the week.

- **Dow, S&P 500, Nasdaq sell off as oil, yields and AI capex weigh** — Alphabet -7% and Tesla -14% did the damage; the AI-spend debate is back in force.
- **Fed rate-hike odds surge as oil rips higher** — September is now a "live" meeting in the eyes of prediction markets even as the FactSet consensus still sees no 2026 hike.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	Refinery Upgradation Policy — cleared the ECC and submitted to cabinet; targets ~\$6bn of upgrades to lift Euro-V petrol/diesel output and cut furnace-oil production.	Refining, OMCs, Autos, Power, Banks	Wins: local refiners (PRL, CENERGY, ATRL, NRL) gaining tariff protection and a bankable investment case; fuel quality and import substitution improve. Losses: furnace-oil-dependent power generation and any refiner that cannot fund the capex on schedule. Timely: refiners are leading PSX volume even in a down tape — a signed policy converts hedging flow into a genuine re-rating thesis. Execution and financing terms are the whole story.
GCC — UAE	Competition Law executive regulations (Cabinet Decision No. 59 of 2026) — a modern merger-control regime under Federal Decree-Law 36/2023, in force 30 July 2026 .	M&A, Corporates, Legal & Advisory, Banking	Wins: dealmakers and advisers gaining clearer notification thresholds and a streamlined review process — a maturing, more predictable M&A market. Losses: firms mid-transaction facing new filing and standstill obligations before the 30 July deadline; expect a compliance scramble. For Gulf-focused sponsors and Pakistani corporates eyeing UAE tie-ups, the rulebook is now closer to global standard.
Global — United States	CFTC final order sunsetting Part 20 large-trader reporting for physical commodity swaps, issued 20 July 2026.	Commodity Traders, Energy Merchants, Banks, Market Surveillance	Wins: commodity trading houses, energy merchants and swap dealers — a genuine cut in routine reporting cost and burden. Losses: market transparency, and anyone relying on position data to read physical commodity markets. The timing sharpens the concern: swap surveillance is being relaxed in the very week Brent breaks above \$100 on geopolitical headlines. Less visibility into speculative positioning raises, not lowers, the odds of disorderly moves.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

169,500

next psychological floor below Thursday's 171,739 close

PIVOT EST.

171,740

Thursday's close; reclaiming it is the first sign of stabilisation

RESISTANCE EST.

173,800

former support (Monday's 173,812 low) now overhead

Desk stance — defensive; let the tape find a floor before adding risk. Two sessions of heavy selling have flipped the near-term posture. Thursday was broad, not narrow — 372 decliners to just 91 advancers means this was distribution across banks, fertiliser, E&Ps, OMCs and power, not a rotation. The macro backdrop is the worst mix for Pakistani equities: a crude spike that imports inflation days before the **27 July MPC**, and a global rates market pricing hawkish tail risk. Positioning follows the asymmetry — refiners (CENERGY, PRL) still absorb the flow as a crude hedge and are the relative-strength trade; banks carry the cleanest earnings visibility but face MPC headline risk on Monday; imported-energy cyclicals and high-beta leverage remain the wrong place to be early. The one anchor is the rupee at 277.90. Watch three things into the weekend: Middle East headlines, whether Brent holds \$100, and the MPC tone. **All levels are indicative desk estimates, not recommendations.**

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